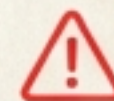
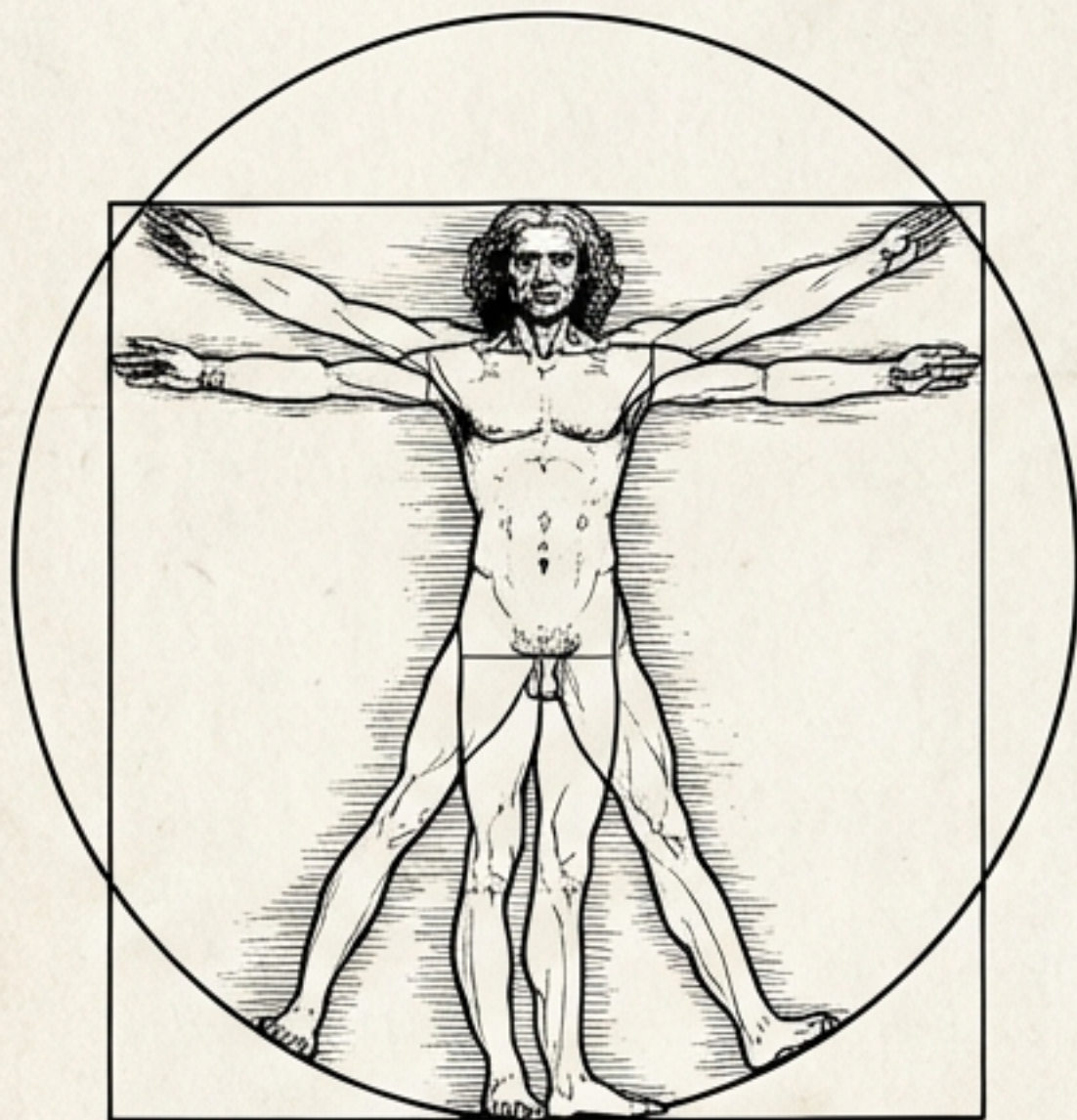


PREDICTABLY IRRATIONAL

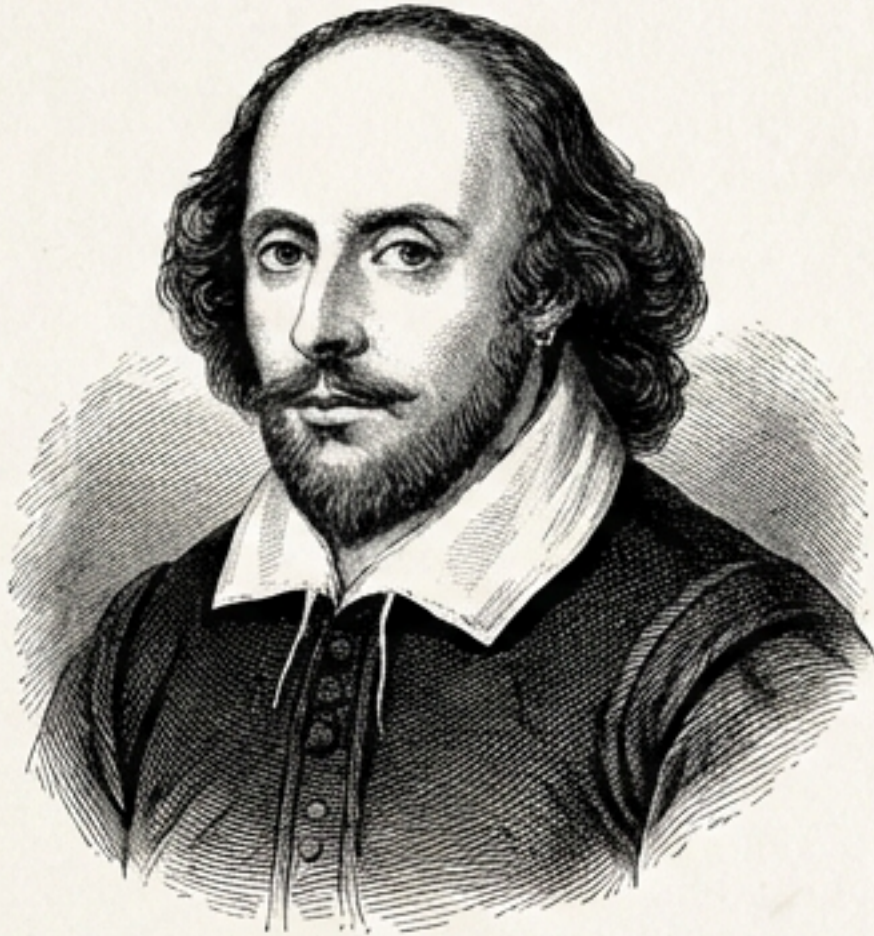
A Field Guide to the Hidden Forces That Shape Our Decisions.

Based on the research of Dan Ariely.



SYSTEM WARNING:
Human Operating System
Errors Detected.

THE MYTH OF RATIONALITY



STANDARD ECONOMICS

*What a piece of work is a man! How noble
in reason! How infinite in faculty!*

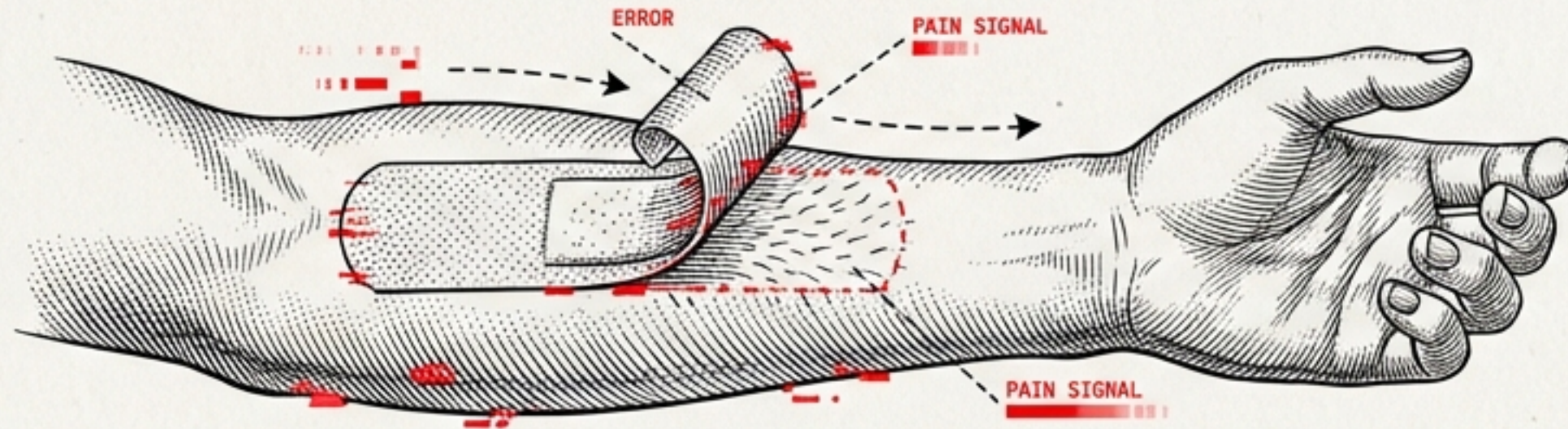


BEHAVIORAL ECONOMICS

In theory, we compute value and follow the
best path. In reality, our mistakes are
systematic, repetitive, and predictable.

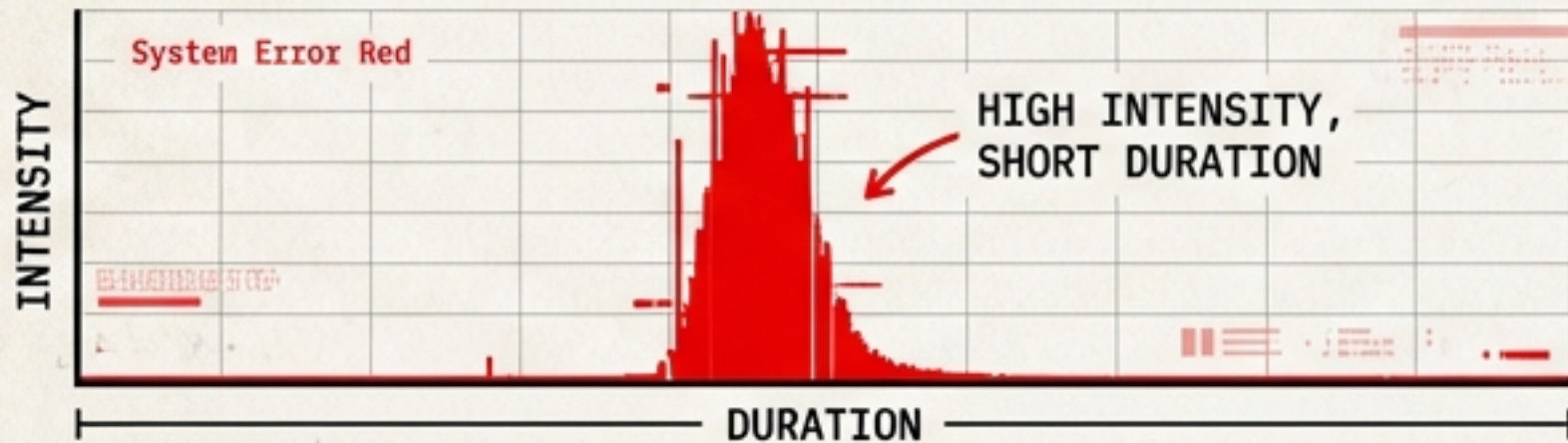
LEARNING FROM PAIN

Dan Ariely's research began in a burn unit. Nurses believed ripping bandages off quickly minimized suffering. They were wrong. Research proved that lower intensity pain over a longer duration is more bearable than a high-intensity spike. Even experts misunderstand the reality of the people they care for.



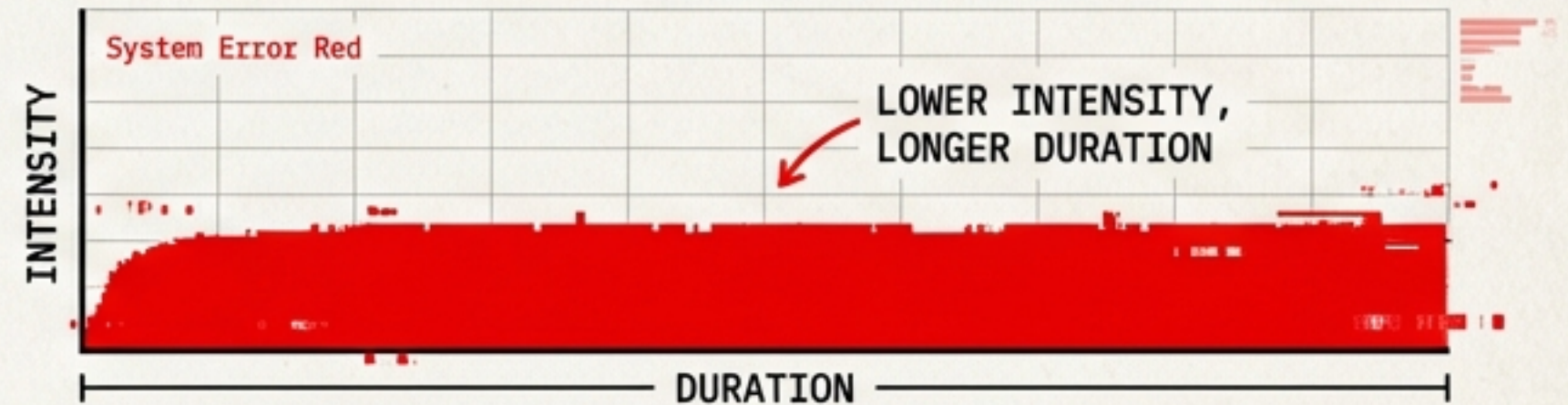
THE INTUITION (FAST RIP)

IBM Plex Mono



THE REALITY (SLOW PULL)

IBM Plex Mono



“A LOGIC PUZZLE”

WHICH OPTION WOULD YOU CHOOSE?

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Instruction: Select your preference **mentally** before advancing to the next slide. **Do not analyze. Just choose.**

THE DECOY EFFECT

The 'Print-only' option was a decoy. No one wanted it, but its presence made the 'Combo' look like a deal. When the decoy was removed, preferences flipped from the expensive option (\$125) to the cheaper one (\$59).

~~DECOY PRESENT~~

Economist.com subscription - US \$59.00

16

Print subscription - US \$125.00

0

Print & web subscription - US \$125.00

84

~~DECOY REMOVED~~

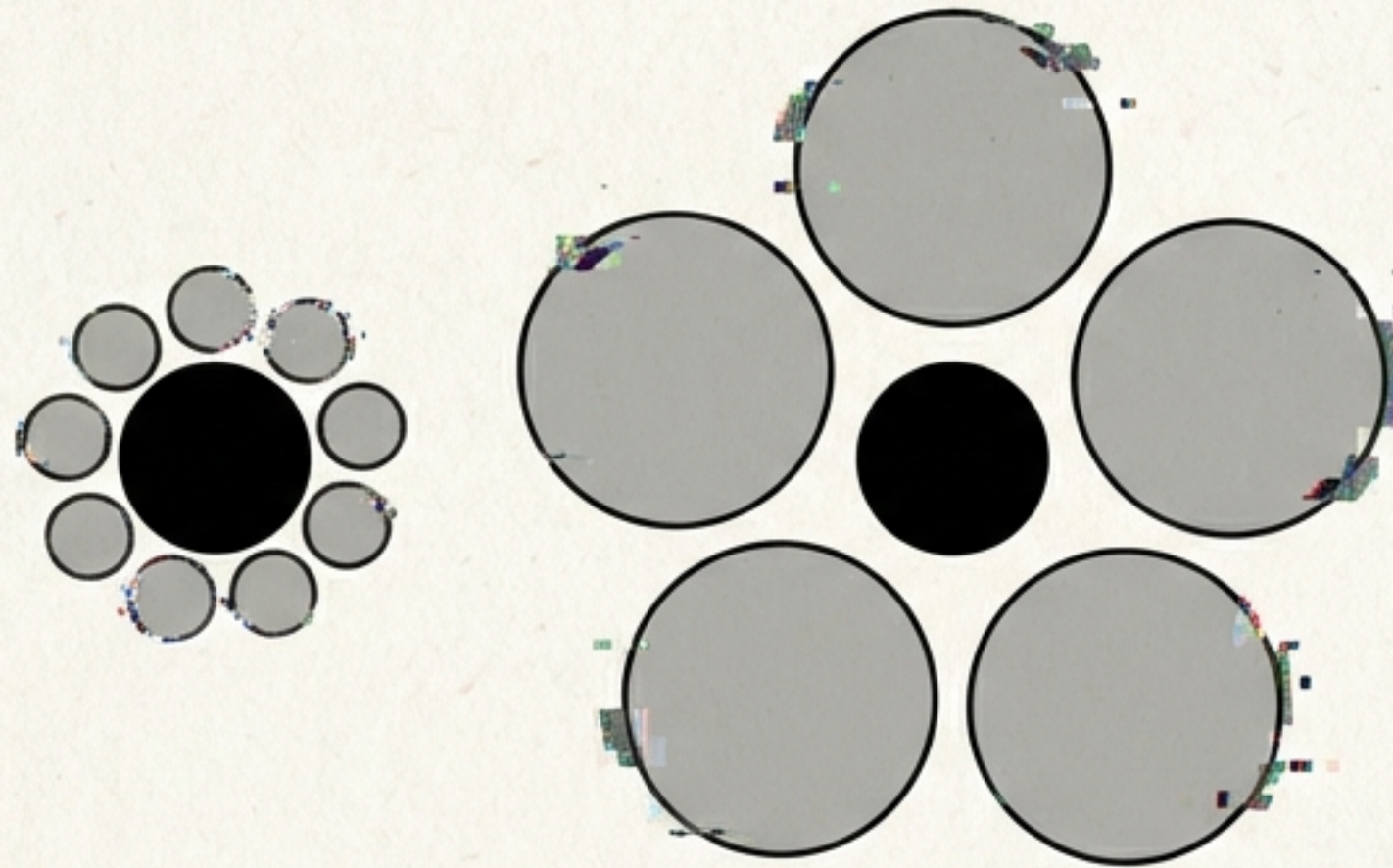
Economist.com subscription - US \$59.00

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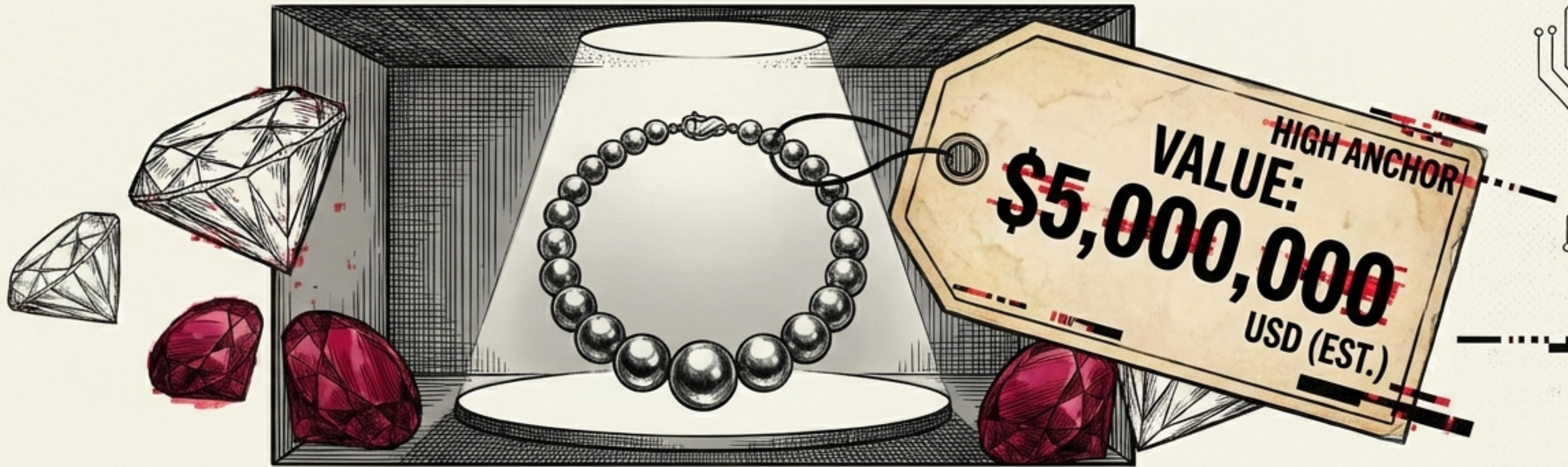
32

CONTEXT IS EVERYTHING



The central black circles are identical in size. Our brain perceives value based on what surrounds it. We compare jobs with jobs, wines with wines, and lovers with lovers. We focus on comparing things that are easily comparable.

IMPRINTING VALUE: THE PEARL KING.



Tahitian black pearls were originally unsold and worthless. Marketing genius Salvador Assael anchored them to diamonds and put them in Fifth Avenue windows with outrageous price tags. Once the anchor was set, the pearls became "precious." To make a man covet a thing, it is only necessary to make it difficult to attain.

ARBITRARY COHERENCE

Students bid on items after writing down the last two digits of their Social Security Number. Those with higher numbers bid 216% to 346% higher than those with low numbers. Initial prices are arbitrary, but once established, they shape what we pay for everything that follows.

Products	Range of last two digits of SS number					Correlations*
	00–19	20–39	40–59	60–79	80–99	
Cordless trackball	\$8.64	\$11.82	\$13.45	\$21.18	\$26.18	0.42
Cordless keyboard	\$16.09 Low SSN	\$26.82	\$29.27	\$34.55	\$55.64 High SSN	0.52
Design book	\$12.82	\$16.18	\$15.82	\$19.27	\$30.00	0.32
Neuhaus chocolates	\$9.55	\$10.64	\$12.45	\$13.27	\$20.64	0.42
1998 Côtes du Rhône	\$8.64	\$14.45	\$12.55	\$15.45	\$27.91	0.33
1996 Hermitage	\$11.73	\$22.45	\$18.09	\$24.55	\$37.55	0.33

*Correlation is a statistical measure...

THE COST OF ZERO COST.

SCENARIO A



System Error Red

System Error Red

SCENARIO B



The price difference remained exactly the same (14 cents). Yet, the preference flipped. "Free" is an emotional hot button. We fear loss, and "Free" eliminates the visible possibility of loss.

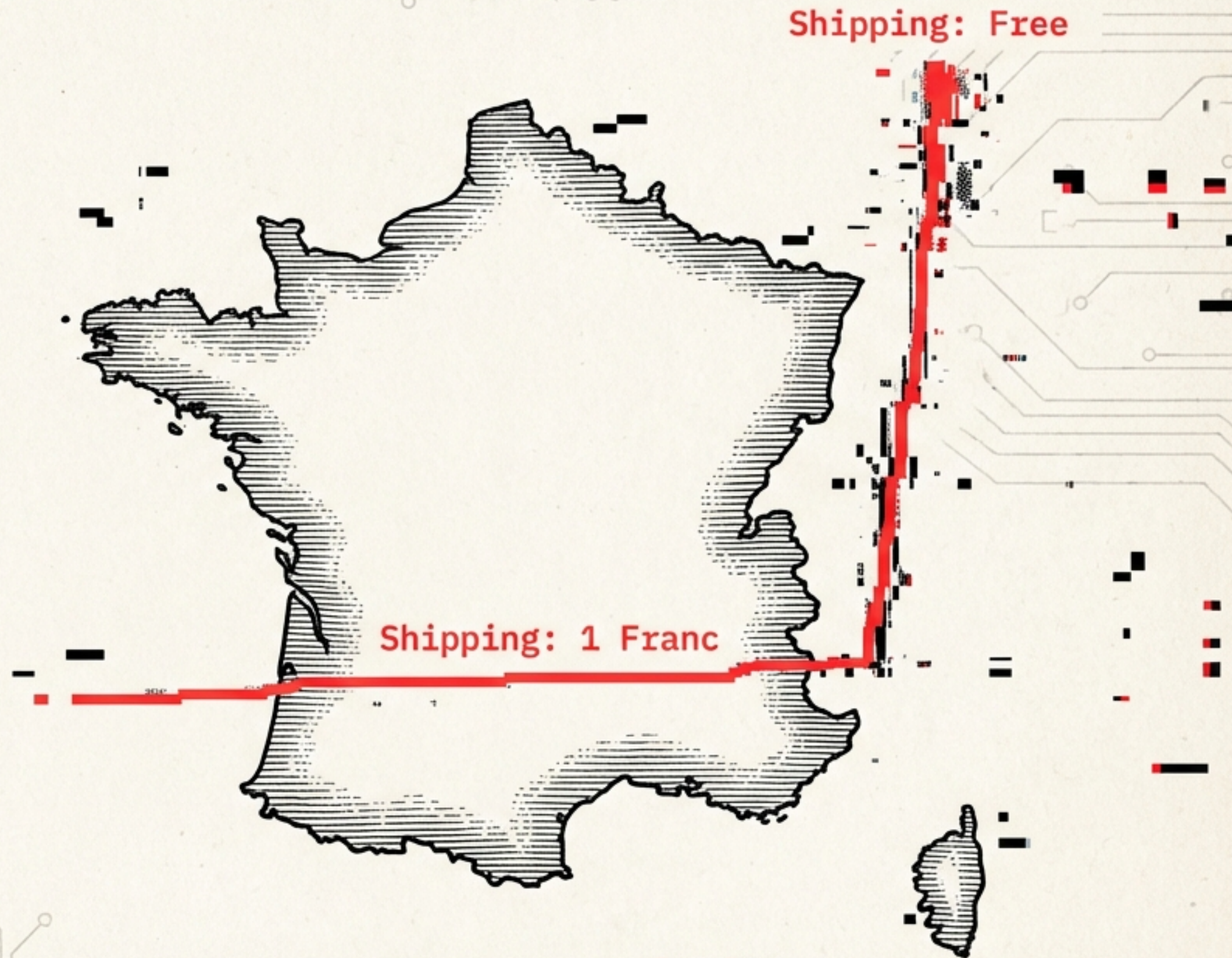
THE DIFFERENCE BETWEEN 1 AND 0.

When Amazon introduced free shipping, sales jumped everywhere except France, where shipping was ~20 cents.

It was a bargain, but not free.

When it changed to Free, sales skyrocketed.

The difference between 1 cent and 0 is huge.

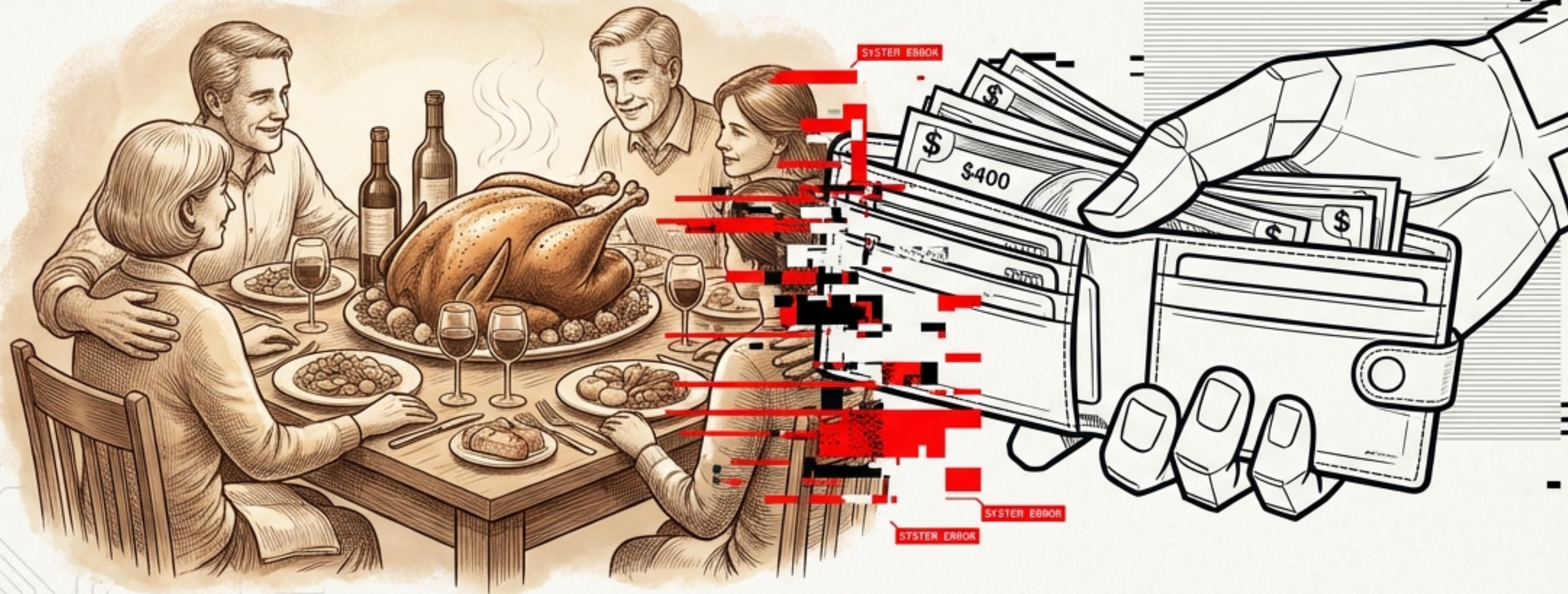


THE TWO WORLDS

We live in two worlds. Social norms are warm and fuzzy. Market norms are sharp-edged (wages, prices). Mixing them is dangerous—like offering to pay your mother-in-law \$400 for Thanksgiving dinner.

SOCIAL NORMS

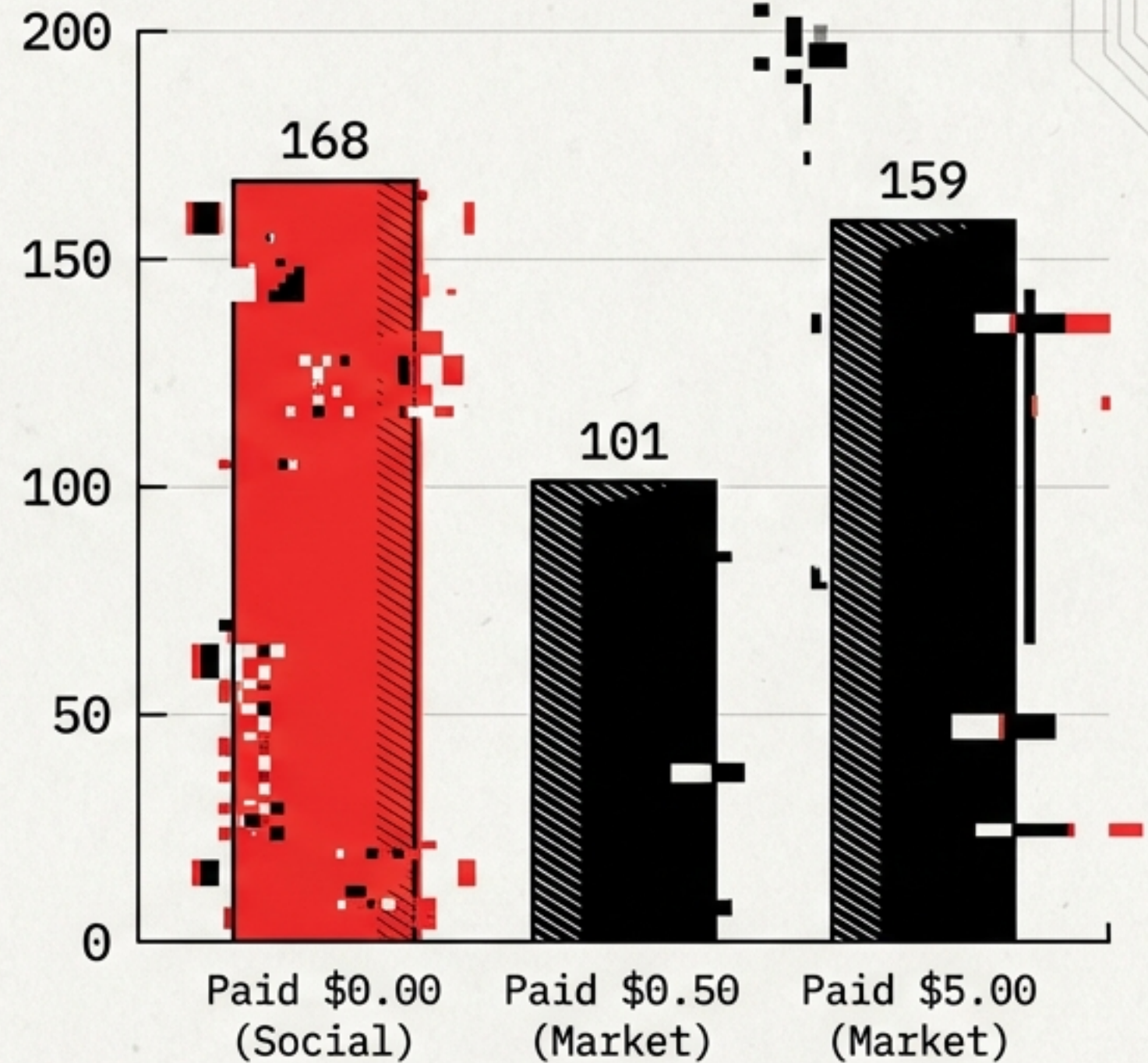
MARKET NORMS



WHY WE WORK.

Participants worked harder for a favor (nothing) than for a small payment. Market norms crowd out social norms. A 50-cent Snickers bar is a gift; a "50-cent Snickers bar" is an insult.

EFFORT PERFORMED (CIRCLES DRAGGED)



THE INFLUENCE OF AROUSAL

We assume we know ourselves.
But in a "cold" state, we cannot
predict our behavior in a "hot"
state (anger, hunger, arousal).

We are strangers to ourselves
when emotions take the wheel.

DR. JEKYLL
(RATIONALITY)



MR. HYDE
(AROUSAL)

SYSTEM ERROR

CRITICAL FAILURE

UNSTABLE STATE

UNSTABLE STATE

PREDICTING THE UNPREDICTABLE.

Students predicted their behavior while rational, then answered while aroused. Morality and safety disappeared. We drastically under-predict the influence of passion.

COLD STATE

HOT STATE

Attraction to
60-year-old woman?

7%
Yes.



23%
Yes.

SYSTEM ERROR



+229%

Slip a woman
a drug?

5%
Yes.



26%
Yes.

CRITICAL FAILURE

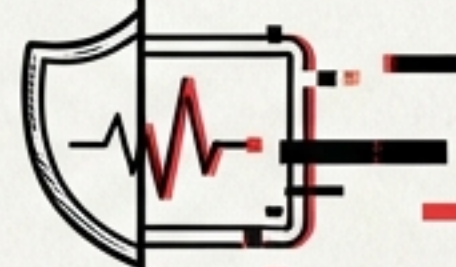
AFFSS23
AFFSS2S
#TBBBDEDK
#FBRT7FOX
SG600TSVO



+420%

Likelihood to
use protection.

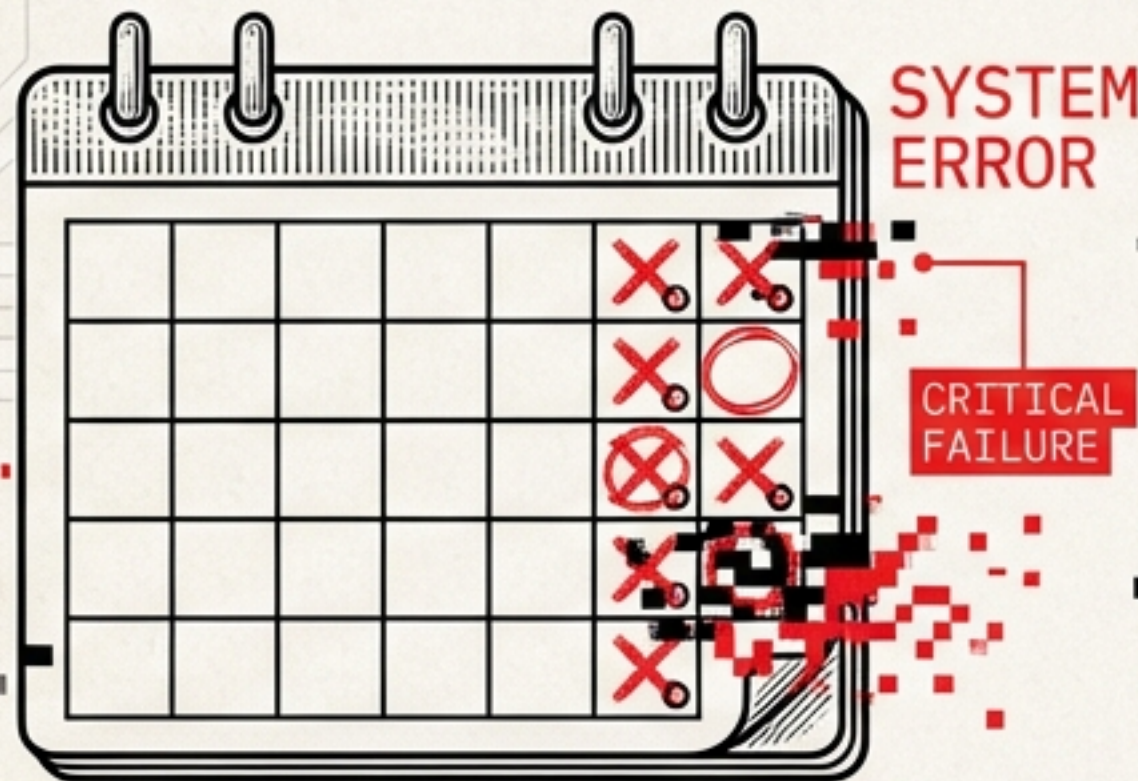
High.



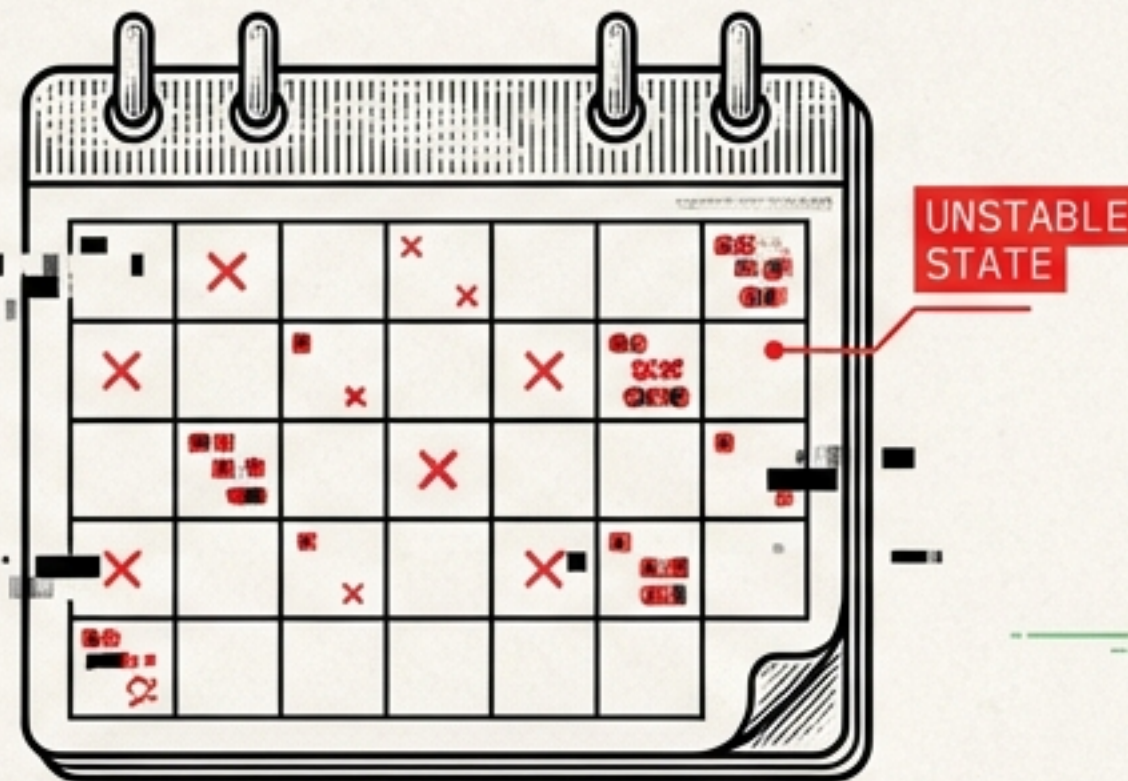
Low.

THE PROBLEM OF PROCRASTINATION

We succumb to immediate gratification. Total freedom leads to failure. "Dictatorial" restrictions yield the best results. We need external pre-commitment mechanisms to force us to behave.



Total Freedom
(Worst Grade)



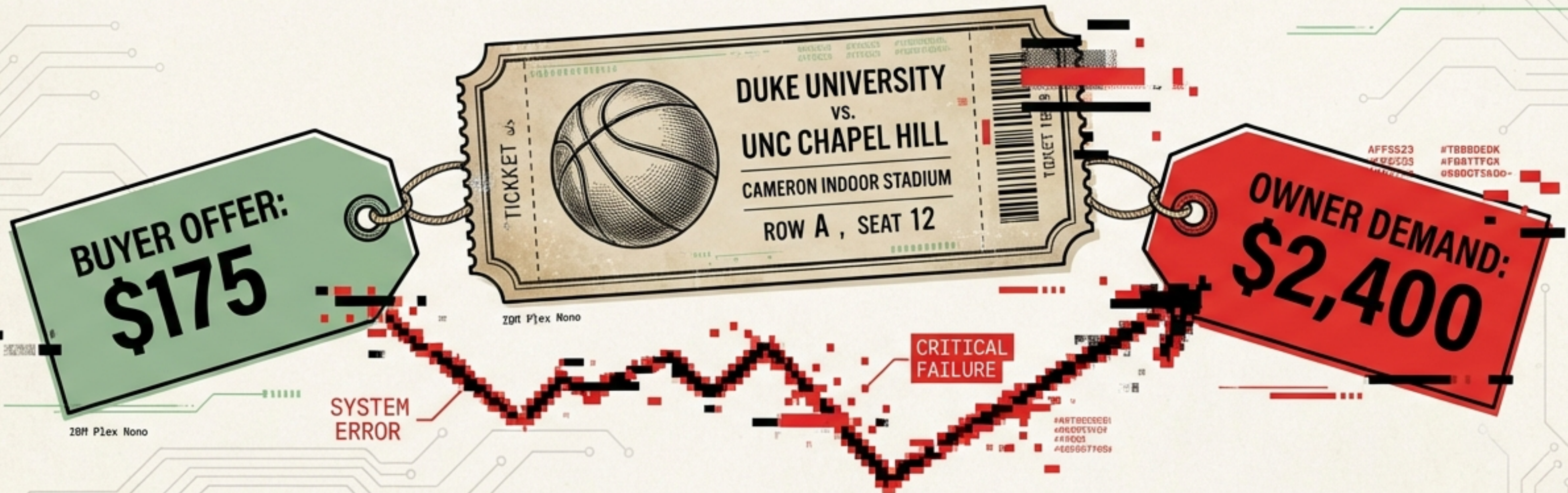
Self-Imposed
(Average Grade)



Dictatorial
(Best Grade)

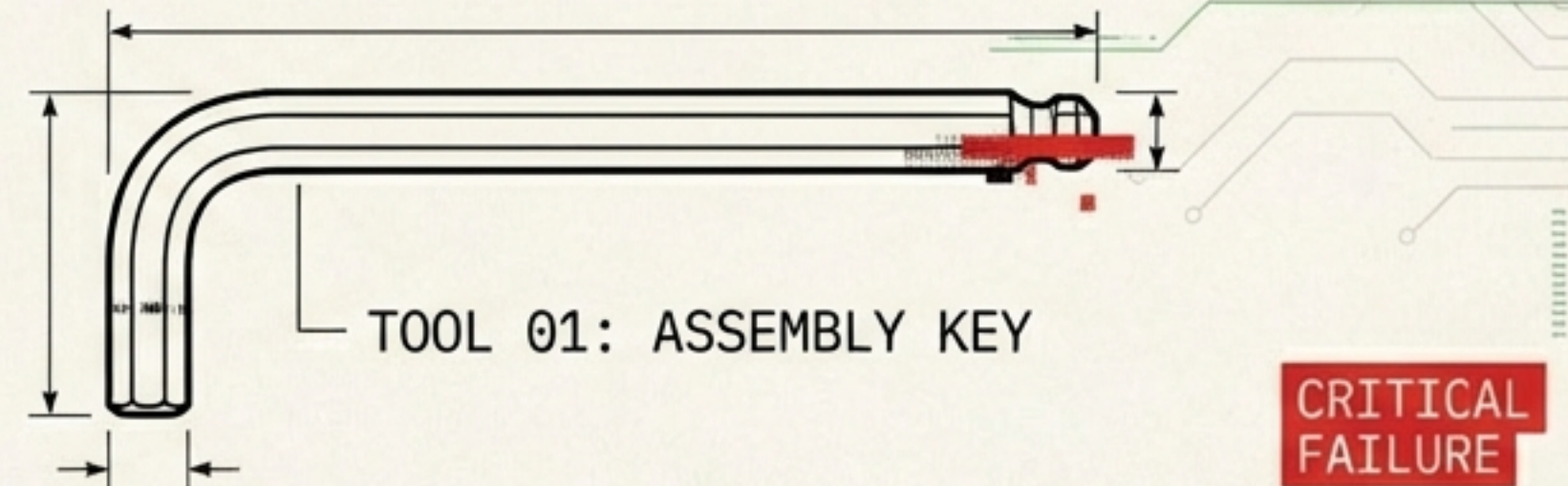
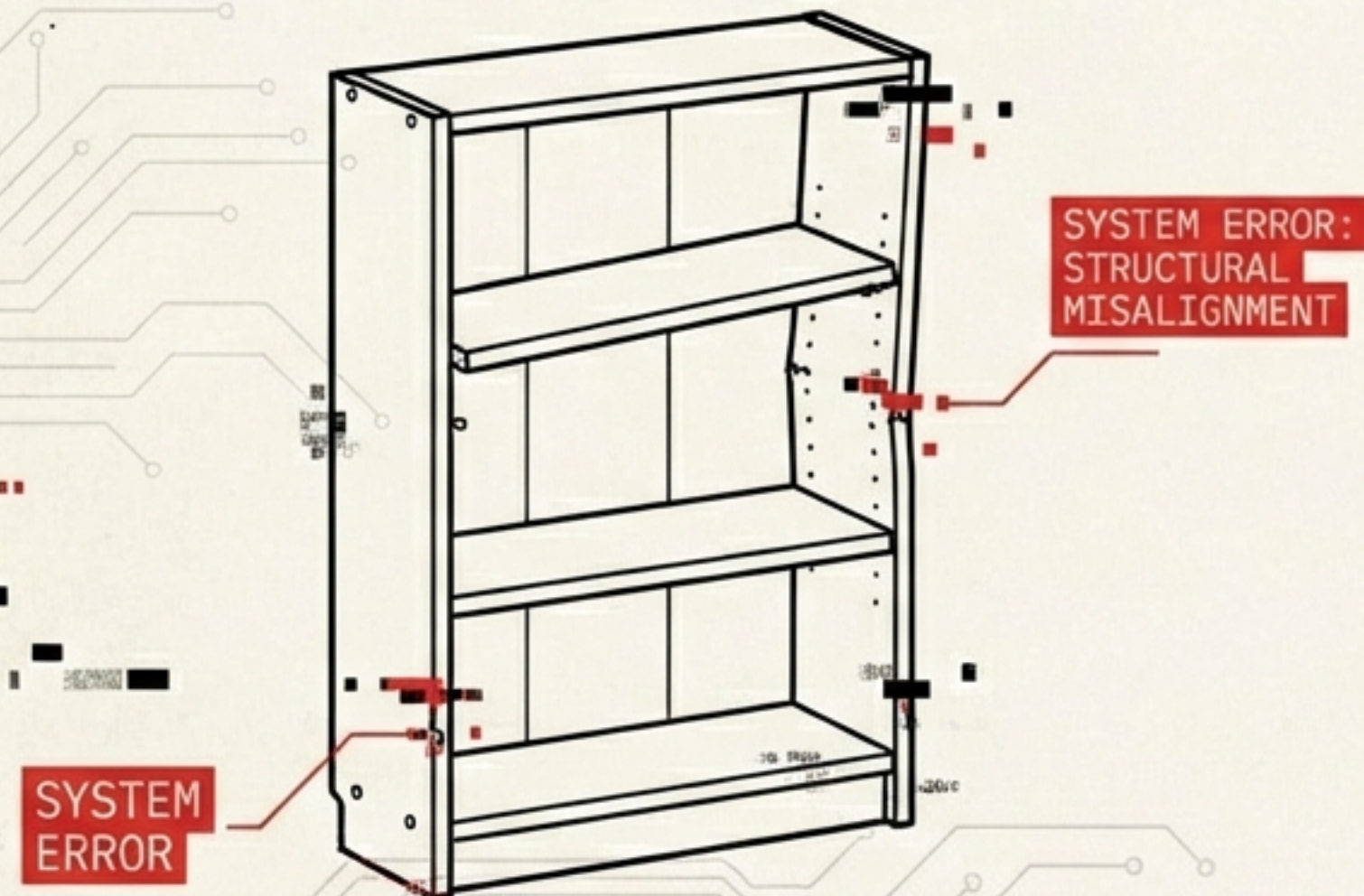
THE HIGH PRICE OF OWNERSHIP.

Duke students who won the ticket lottery valued the ticket 14x higher than those who lost, despite equal effort. When we own something, we focus on the loss of giving it up rather than the gain of the money.



THE IKEA EFFECT.

The more work you put into something, the more ownership you feel.
You see the effort and memories; the buyer sees a crooked table.
You are at the "ceiling" of value; they are at the "floor."



YOU (CREATOR) → "CEILING" OF VALUE
BUYER → "FLOOR" OF VALUE

SYSTEM DIAGNOSTICS: HUMAN GLITCHES

- [X] RELATIVITY: Manipulated by decoys.
- [X] IMPRINTING: First impressions dictate value.
- [X] ZERO COST: Rationality fails when 'Free' appears.
- [X] NORMS: Money kills social motivation.
- [X] AROUSAL: We are different people when emotional.
- [X] OWNERSHIP: We overvalue what is ours.

CRITICAL
FAILURE

#T888DEK
AF081TFCA
080CT7000-

SYSTEM
ERROR

CRITICAL
FAILURE

Status: Systematic
deviations confirmed.

#A87EEES61
48E001Y08
#AN000
#48E66-97684

PAWNS IN THE GAME.

We think we are in the driver's seat, but our decisions are shaped by hidden forces we largely fail to comprehend. Because we are predictably irrational, we can train ourselves to spot these patterns.

SYSTEM ERROR:
UNCONSCIOUS
BIAS DETECTED

CRITICAL FAILURE:
PREDICTABLE
IRRATIONALITY

WTOPRDEK
AF061TFGA
CB9DCTT900-

SYSTEM ERROR:
UNCONSCIOUS
BIAS DETECTED

DESIGNING FOR REALITY.

We cannot simply “will” ourselves to be rational. We must design our environment to account for our glitches.

Force your “Mr. Hyde” to behave. Set deadlines. Question anchors.



SYSTEM ERROR: UNEXAMINED BEHAVIOR DETECTED.
INITIATING PRE-COMMITMENT PROTOCOL.